

Bajaj Auto Ltd

BAJAJ-AUTO

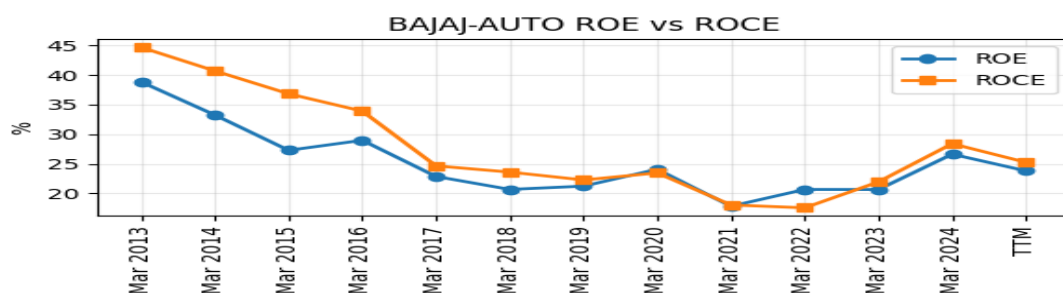
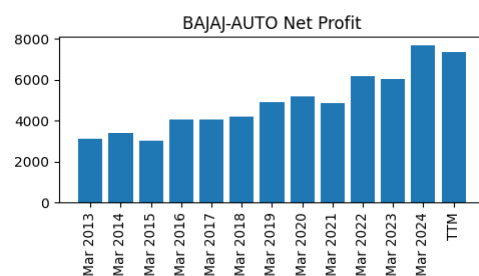
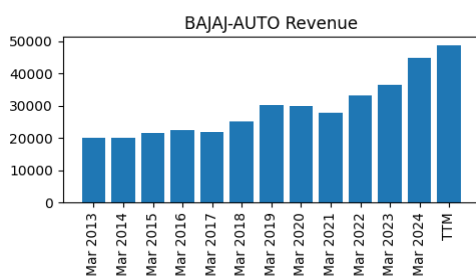
Key Financial Metrics

ROE 23.79%	ROCE 25.24%	Debt / Equity 0.17
Revenue CAGR 7.61%	FCF Conversion 85.08%	Quality Score 52.16

Company Profile

Company	Bajaj Auto Ltd
Sector	Consumer Discretionary
Industry	Two Wheelers
Market Cap (■ Cr)	653,817.30
P/E Ratio	29.91
P/B Ratio	9.83
Dividend Yield	3.59%

Financial Performance



AI Investment Summary

Bajaj Auto Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has healthy profitability, strong capital efficiency, limited revenue growth, moderate cash-flow quality and conservative leverage. The overall financial quality score is 52.2/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency. - Profits are compounding faster than revenue, indicating improving operating leverage and scalability. - Strong free cash flow generation over 5 years signals healthy business fundamentals. - Very high interest coverage ratio reflects negligible financial stress from debt servicing.	Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

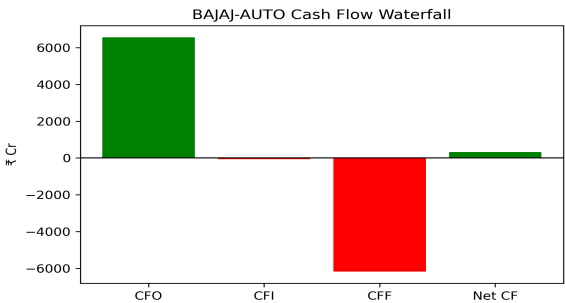
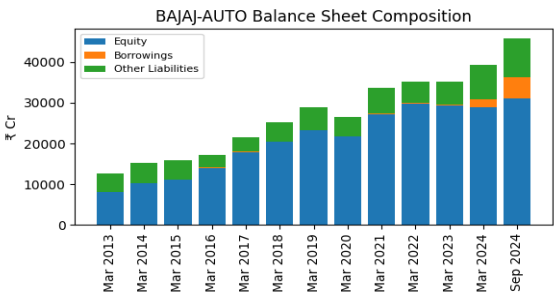
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 52.2/100, supported by 4 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 52.2

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Moderate

Cash Flow	Moderate
Leverage	Strong
Valuation	Fair

Capital Allocation

Reinvestor